MainBank AG - Escalation Guidelines (Head of Credit Analysis, Risk Management, Credit Committee)

Synthetic demo document for the FUTURY Build Days #4 Knowledge Transfer challenge. MainBank AG, its customers and all figures are invented.

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1. Purpose and scope

These guidelines define when a corporate credit case must be escalated beyond the four-eyes level, to whom, within which deadline and how the escalation is documented. They apply from 2025-07-01 to every new request, increase, annual review and event in the life of an exposure, and they complement the approval limits of the Credit Policy for Corporate Customers (Version 2, credit-policy-2025-v2) and the Credit Processing Workflow.

Escalation does not mean a negative decision; it means that a higher authority must see the case before it goes on.

2. General rules

- An escalation is triggered by the credit analyst or the relationship manager, whichever identifies the trigger first.
- The escalation is made within 1 business day of identification of the trigger.
- Every escalation is documented in KreditPortal on the case, with the trigger, the date, the addressee and the outcome.
- The three levels are cumulative: a case can be escalated to the Head of Credit Analysis and to Risk Management at the same time, and from there to the Credit Committee.

3. Escalation to the Head of Credit Analysis

The case is escalated to the Head of Credit Analysis when at least one of the following applies:

- The total exposure (Gesamtobligo) of the customer group after the request is above EUR 1.5 million. This is also the point at which the Head of Credit Analysis becomes the approver under the Credit Policy.
- The file carries an "incomplete" flag in KreditPortal, as defined in the Credit Processing Workflow.
- The internal rating deteriorates by 2 notches or more compared with the previous rating in the RatingTool (for example from 3 to 5).

Example: a customer with an existing exposure of EUR 1.8 million applies for a further EUR 2.5 million. The total exposure of EUR 4.3 million is above EUR 1.5 million, so the case goes to the Head of Credit Analysis; it stays below the EUR 5.0 million committee threshold, so the Head of Credit Analysis can decide.

4. Escalation to Risk Management

The case is escalated to the Head of Risk Management when at least one of the following applies:

- Every policy exception: any deviation from the Credit Policy requires form EXC-REQ, which is approved or rejected by the Head of Risk Management. The exception is logged in KreditPortal and is never a precedent.
- The internal rating is 6 or worse, at a new request or at a review.
- A covenant is breached (for example an equity ratio covenant of at least 20% that is not met in the annual financial statements).
- A watchlist proposal: the credit analyst or the relationship manager proposes to put the customer on the watchlist because of warning signs from the Risk Assessment Checklist.

Risk Management records its decision in KreditPortal before the credit decision is taken.

5. Escalation to the Credit Committee

The case is submitted to the Credit Committee (Kreditausschuss) when at least one of the following applies:

- The total exposure of the customer group after the request is above EUR 5.0 million.
- Project finance above EUR 3.0 million, regardless of the total exposure.
- A policy exception (EXC-REQ) on an exposure above EUR 2.5 million, after approval of the EXC-REQ by the Head of Risk Management.
- Any exposure to a customer group above EUR 10 million, including annual reviews and prolongations without a new amount.

Example: a project developer with an existing project loan of EUR 4.0 million applies for a second project loan of EUR 3.5 million. The total exposure of EUR 7.5 million is above EUR 5.0 million, and the new loan is project finance above EUR 3.0 million; both triggers lead to the Credit Committee.

6. Credit Committee procedure

- The Credit Committee meets every second Tuesday. The Credit Committee Office publishes the meeting calendar on MainWiki.
- The submission consists of the credit memo (KV-02) plus the annex (scored Risk Assessment Checklist, sensitivity analyses, EXC-REQ where applicable, cash-flow model for project finance).
- The submission must reach the Credit Committee Office at least 5 business days before the meeting. Later submissions move to the next meeting.
- The committee may approve, approve with conditions, decline, or postpone the decision and request additional analyses (for example price or construction-delay sensitivities for project finance); a postponed case is resubmitted for a following meeting.
- The Credit Committee Office records the decision in KreditPortal on the day of the meeting.

7. Urgent decisions (Eilentscheidung)

If a decision cannot wait for the next meeting, two members of the Management Board may take an urgent decision (Eilentscheidung) within 2 business days of the submission. The urgent decision is confirmed at the next regular meeting of the Credit Committee. It is not available for a case the committee has already postponed while additional analyses are outstanding.

8. Suspected fraud

If fraud is suspected at any stage (for example forged statements, fictitious invoices, inconsistent bank statements), Compliance is informed immediately. From that moment there is no further contact with the customer about the case until Compliance releases it. The suspicion is not discussed with the customer. The case is frozen in KreditPortal and all escalation deadlines of sections 3 to 5 are suspended.

9. Documentation and monitoring

The Credit Committee Office keeps a register of all escalations, EXC-REQ forms and urgent decisions in KreditPortal and reports quarterly to the Head of Risk Management and the Head of Credit Analysis.

10. Responsibilities and contacts

- Credit Analysis, Stefan Krüger (Head of Credit Analysis): addressee of escalations under section 3; approver up to EUR 5.0 million.
- Risk Management, Dr. Katrin Lorenz (Head of Risk Management, Chief Risk Officer): addressee of escalations under section 4; approves form EXC-REQ; co-owner of these guidelines.
- Credit Committee, Jochen Richter (Member of the Management Board, Vorstand Marktfolge, chair): decisions under section 5 and urgent decisions under section 7; the Credit Committee Office manages submissions and the register.
- Credit Analysis, Dr. Petra Hoffmann (Senior Credit Analyst): identifies triggers in the analysis, prepares KV-02 and EXC-REQ for escalated cases.
- Corporate Banking, Claudia Weber (Head of Corporate Banking): relationship managers Martin Scholz and Daniel Fischer identify triggers at the customer side and inform the analyst.
- Loan Operations, Sabine Neumann (Head of Loan Operations): implements conditions decided at the escalated level before disbursement.
- Compliance: addressee for suspected fraud under section 8.
- Questions on this document: Credit Committee Office via MainWiki, page "Eskalation".